

*...The dominant statistical practice in the social sciences is to assign weights to the different predictors by following an algorithm, called multiple regression...The logic of multiple regression is unassailable: it finds the optimal formula for putting together a weighted combination of the predictors...One can do just as well by selecting a set of scores that have some validity for predicting the outcomes and adjusting the values to make them comparable (by using standard scores or ranks). A formula that combines these predictors with equal weights is likely to be just as accurate in predicting new cases as the multiple-regression formula that was optimal in the original sample... The important conclusion...is that an algorithm that is constructed on the back of an envelope is often good enough to compete with an optimally weighted formula.*⁵

Is it possible that a simplified weighting regime for asset classes will offer performance comparable, or perhaps superior to, the rich body of portfolio research that has emerged over the past half century? We explore this question in [Chapter 6](#).

Risk Management

In general, while efforts to time the market should be viewed with skepticism, certain risk-management, or “market-timing” strategies, which have been explored in academia, appear to reduce risk, without significantly impacting long-run returns. In particular, the application of simple moving average rules has been demonstrated to protect investors from large market drawdowns, which is defined as the peak-to-trough decline experienced by an investor.

Jeremy Siegel, in his book, *Stocks for the Long Run*, explores the effect on performance on the Dow Jones Industrial Average from 1886 to 2006, when applying a 200-day moving average rule. Siegel found that this simple technical rule outperforms a buy-and-hold approach, both in absolute terms and on a risk-adjusted basis.⁶

This simple strategy seems to protect investors from large drawdowns, which are difficult to recover from. Research indicates that the rule can be used effectively across asset classes. We will explore more ideas and concepts in [Chapter 7](#).